# WAVERLEY GATEWAY GUIDE

*Connecting International Capital with Emerging & Frontier Markets*

# PARAGUAY

Americas

*Information current as of October 2026*

Dialogue | Trust | Partnership

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## WHERE AND HOW TO ENTER

### KEY INVESTMENT LOCATIONS

| Location / Region | Strategic Importance | Priority Sectors |
|---|---|---|
| Asunción and Gran Asunción | Capital and main commercial centre; seat of government, the central bank and most financial, professional-services and corporate head offices | Financial services, retail, real estate, IT and business services |
| Ciudad del Este / Alto Paraná | Second city on the Brazil and Argentina border, adjacent to the Itaipu hydropower plant and home to the country's free-trade zones | Commerce, free-zone logistics, light manufacturing, energy-intensive industry |
| Eastern agricultural belt (Itapúa, Alto Paraná, Canindeyú) | Core of soybean, grain and livestock production, which drove the upgraded 2026 growth forecast on the back of a record soybean harvest | Agribusiness, agro-processing, oilseed crushing, farm inputs |
| Concepción (north) | Site of the Paracel pulp and forestry hub, described as the country's largest private investment, where works on port, transmission and road infrastructure began in May 2026 | Forestry, pulp, river logistics, industrial services |
| Villeta and the Paraguay River corridor | River-port and industrial hub near Asunción and location of the $665 million, 145 MW Villeta green-hydrogen fertiliser project | Port logistics, green hydrogen, fertiliser, manufacturing |
| Western Chaco / Carmelo Peralta | Paraguayan leg of the Bioceanic Road Corridor linking Brazil to Chile's Pacific ports; the Carmelo Peralta–Porto Murtinho bridge was 86% complete at end-April 2026 | Road logistics, cattle and meat processing, transit services |
| Encarnación / Itapúa (south) | Southern gateway to Argentina, adjacent to the Yacyretá hydropower complex, with growing commercial and services activity | Cross-border trade, agro-industry, tourism, energy |

### INVESTOR ENTRY ROUTES

- REDIEX (Investment and Export Network, under the Ministry of Industry and Commerce) guides foreign investors on incentive regimes and channels applications to the relevant authorities
- Investment Law guaranteeing national treatment for foreign investors and full repatriation of capital and profits, with new 2025 incentives (Law 7548/25) offering a 10-year dividend exemption for approved investments of at least $13 million

- Maquila regime (Law 7547/2025) for export manufacturing: a single 1% tax on value added in Paraguay, with duty-free temporary import of inputs and machinery
- Free-trade zones (Law 523/95) with a 0.5% income-tax rate and dividend exemption, now also used by large projects such as Paracel
- Assembly regime (Law 7546/25) and a simple tax system with 10% VAT and 10% corporate income tax
- SUACE single window for company formation, and an investor permanent-residence route requiring a $70,000 investment and five formal jobs
- Free-floating guaraní managed by the Banco Central del Paraguay, with no restrictions on profit or capital repatriation

### MARKET-ENTRY OBSERVATION

Paraguay in October 2026 is one of South America's fastest-growing and most stable economies. GDP grew 6.6% in 2025 and 5.7% in the first half of 2026, and the central bank has raised its 2026 forecast to 4.5% on the back of a record soybean harvest. Inflation was 1.7% in September 2026, below the 3.5% target, with the policy rate held at 5.50%. Public debt stands at about 38% of GDP, and net international reserves were about $11 billion at end-June 2026. The country now holds two investment-grade ratings, Moody's Baa3 since July 2024 and S&P BBB- since December 2025. Foreign direct investment exceeded $1 billion for a third consecutive year in 2025, reaching $1.18 billion, while announced projects rose 65% to $911 million, led by data centres, food and renewable energy. A modernised incentive framework, including new maquila, assembly and investment laws in 2025, and the EU–Mercosur interim trade agreement applied from 1 May 2026 are broadening the investment case.

Paraguay's main structural challenge is diversifying an economy closely tied to agriculture and to hydropower from the binational Itaipu and Yacyretá dams. Harvests vary with the weather and the energy model is in transition. The current Itaipu tariff arrangement runs until the end of 2026, and Brazil and Paraguay are negotiating a revised Annex C, expected to take effect in 2027 and needing approval by both parliaments. At the same time, the government is clearing expenditure arrears, which lifts the 2026 fiscal deficit to a projected 3.5% of GDP, and plans to return to the Fiscal Responsibility Law ceiling by 2028. Each of these areas carries investment opportunity. Electricity demand rose 13% in the second quarter of 2026, led by electricity-intensive users, and abundant clean power underpins green hydrogen, data centres and pulp. The Paracel, Villeta and Bioceanic Corridor projects are steadily widening the export base beyond grains and beef.

## INVESTOR RISK & MARKET ACCESS

### KEY ENTRY BARRIERS

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| Itaipu Annex C transition | The current tariff model runs until end-2026, and the revised Annex C, expected from 2027, must still be agreed and ratified by both parliaments | Build tariff scenarios into energy-intensive projects; the direction of travel points to lower-cost power from 2027, improving the competitiveness of clean-energy industry |
| Weather-sensitive agricultural base | Agriculture drives much of the growth cycle, as the record 2026 soybean harvest shows, and output varies with climate conditions | Diversify across value chains; growth in maquila, forestry, energy and services is broadening the economy, supported by IMF-backed climate-resilience reforms |
| Institutional and judicial capacity | Judicial insecurity has been cited as a constraint, and the IMF recommends stronger governance, anti-corruption and AML/CFT frameworks | Use international arbitration clauses, robust local counsel and REDIEX facilitation; the investment-grade ratings reflect continued reform momentum |
| Fiscal consolidation and arrears | Clearing 2023–2025 arrears lifts the 2026 deficit to a projected 3.5% of GDP, and suppliers to the state have faced payment delays | Debt remains moderate at about 37% of GDP, with a return to fiscal-rule compliance planned by 2028; structure public contracts with clear payment terms |
| Landlocked geography | Exports depend on the Paraguay–Paraná waterway and on routes through Argentina, Brazil and Chile | The Bioceanic Corridor and river-port investment are opening new routes, creating opportunities in logistics, storage and transport |
| Informality and contraband | A large informal sector and border trade weigh on tax collection and fair | Formal investors benefit from simple 10% tax rates and incentive regimes; the IMF- |

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| | competition | supported formalisation agenda is gradually levelling the field |
| Currency appreciation | The guaraní appreciated about 20% against the dollar in the year to October 2026, affecting exporters' margins | Apply standard hedging; appreciation reflects strong external inflows and lowers the dollar cost of imported capital goods |

### INVESTOR RISK NOTE

Paraguay's risk profile is that of a stable, steadily upgrading economy. Two investment-grade ratings, low inflation, a moderate debt burden and reserves of about $11 billion give it strong buffers, and the IMF's 2026 Article IV highlighted the resilience of its macroeconomic framework. The main areas to watch are known and actively managed. They include the Itaipu Annex C revision, the weather sensitivity of agriculture, fiscal consolidation after arrears clearance, and the pace of institutional and judicial reform. Investors in energy-intensive sectors should model tariff scenarios for 2027 onwards. All investors should rely on sound legal structuring and international arbitration provisions. With these steps, Paraguay offers predictable macroeconomic conditions, competitive taxes and abundant clean energy.

### MARKET ACCESS

Paraguay is a founding member of Mercosur, giving preferential access to Brazil, Argentina and Uruguay, and a WTO member. The EU–Mercosur interim trade agreement, which Paraguay ratified in March 2026, has applied provisionally since 1 May 2026, removing tariffs on 91% of traded products and giving Paraguay dedicated quotas for products such as organic sugar, biofuels and pork. Argentina, Brazil and Chile were the largest export destinations in 2025, followed by Bolivia, the United States and Taiwan, with which Paraguay maintains diplomatic relations. Maquila exports reached a record $1.31 billion in 2025, 82% of them to Mercosur. Goods move mainly by barge on the Paraguay–Paraná waterway to Atlantic ports, and the Bioceanic Road Corridor will add a direct route to Chile's Pacific ports for Asian markets.

## WHO SHOULD THE INVESTOR MEET?

### INSTITUTIONAL LANDSCAPE

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| Office of the President (Santiago Peña) | Sets the investment-attraction, energy and infrastructure agenda and leads the Itaipu Annex C negotiation with Brazil | Primary reference point for strategic direction and flagship projects |
| REDIEX / Ministry of Industry and Commerce (MIC) | Investment promotion network and ministry administering the maquila, investment-incentive and SUACE single-window regimes | Standard first point of contact for market entry and incentive applications |
| Banco Central del Paraguay (BCP) | Inflation-targeting monetary authority managing the free-floating guaraní and banking supervision | Relevant for currency, financial-sector and macroeconomic matters |
| Ministry of Economy and Finance (MEF) | Leads fiscal policy, debt management, tax policy and relations with rating agencies and multilateral lenders | Key counterpart on tax treatment, public-private partnerships and fiscal outlook |
| Itaipu Binacional and ANDE (national electricity company) | Itaipu is the binational hydropower entity at the centre of the tariff revision, and ANDE runs domestic transmission and supply | Essential counterparts for power supply terms in energy-intensive investment |
| Ministry of Public Works and Communications (MOPC) | Delivers the Bioceanic Corridor, roads and access infrastructure for major projects such as Paracel | Relevant for infrastructure, logistics and PPP opportunities |
| Ministry of Foreign Affairs | Manages Mercosur and EU–Mercosur trade relations and Paraguay's ties with Brazil, Argentina, the US and Taiwan | Useful for trade-access and bilateral partnership opportunities |

## CURRENT INTERNATIONAL BUSINESS CHANNELS

The Paraguayan-American Chamber of Commerce (AmCham Paraguay) and European bilateral chambers are the main foreign business associations, alongside the Unión Industrial Paraguaya and sector bodies such as the cereals and oilseed exporters' chamber (CAPECO) for domestic liaison. REDIEX and the Ministry of Industry and Commerce run investor outreach and trade missions. The Inter-American Development Bank, IDB Invest, the World Bank, CAF and the European Investment Bank are active in infrastructure, energy and private-sector finance. IDB Invest and the EIB have both supported the Villeta green-hydrogen project. Large investors such as Paracel are a useful source of practical intelligence on logistics and permitting.

## INVESTOR PROFILE BEST SUITED

Paraguay suits investors seeking a low-cost, low-tax and macroeconomically stable base in the heart of Mercosur. Manufacturers and assemblers can use the 1% maquila regime to serve Brazil and Argentina. Agribusiness and food-processing investors can build on world-scale soybean and beef production and new EU–Mercosur quotas. Energy-intensive industries, including data centres, green hydrogen and pulp, are drawn by abundant renewable hydropower. Logistics and infrastructure investors can position for the Bioceanic Corridor and river-port expansion. Energy-intensive investors should factor the 2027 Itaipu tariff revision into project economics.

## FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage REDIEX and the Ministry of Industry and Commerce on incentive terms
Open early dialogue on eligibility under the 2025 investment, maquila and assembly laws and on the SUACE company-formation process.

STEP 2: Select the right regime for the business model
Compare maquila, free-zone and general investment-law treatment for tax, customs and export-market fit, with local tax counsel.

STEP 3: Model energy terms ahead of the Itaipu revision
For energy-intensive projects, agree supply terms with ANDE and run scenarios for the post-2026 Itaipu tariff.

STEP 4: Plan export logistics across river and road routes
Assess waterway capacity, port options and the Bioceanic Corridor to optimise access to Atlantic and Pacific markets.

STEP 5: Use EU–Mercosur and multilateral finance
Position exports to benefit from new EU tariff preferences and explore co-financing with IDB Invest, CAF or the EIB.